D.J. PARIS

THE BUILDING'S ROOF COVERAGE JUST GOT WEAKER.

Fannie Mae and Freddie Mac's condo rules now let associations insure for less.

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FANNIE MAE AND FREDDIE MAC UPDATED CONDO LENDING STANDARDS IN MARCH 2026, AND MOST AGENTS HAVEN'T NOTICED THE INSURANCE PART.

Associations can now carry Actual Cash Value roof coverage instead of full replacement cost.

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ACV DOESN'T PAY WHAT THE ROOF COSTS TO REPLACE.

Actual Cash Value coverage pays the roof's depreciated worth, not the cost to put a new one on. Per Sean Kent, SVP of Insurance at FirstService Residential, writing in HousingWire: the update also puts associations under a $50,000 per-unit deductible cap. Kent's point is that neither change is a relaxed standard, it's a shift. The gap between what ACV pays and what the roof actually costs has to come from somewhere, and that somewhere is the association's reserves, a special assessment, or the unit owner's own policy.

WHAT TO CHECK BEFORE YOU WRITE THE OFFER:

1 **Ask for the certificate of insurance, not just the HOA docs.**

Does the master policy cover the roof at replacement cost or Actual Cash Value? Most buyers never ask, and most listing agents don't know.

2 **Check the reserve study for a funded roof line.**

If the roof is ACV, the reserve fund is where the gap gets covered, so an underfunded reserve is now a bigger problem than it used to be.

3 **Tell the buyer's insurance agent about loss-assessment coverage.**

With risk shifting to unit owners, an HO-6 policy without strong loss-assessment protection leaves the buyer holding a special-assessment bill the master policy no longer fully covers.

THE TAKEAWAY

HERE'S WHAT YOU DO NOW.

Before you write the offer or take the listing, ask to see the association's insurance certificate and reserve study. If the roof is Actual Cash Value, make sure the buyer's own HO-6 carries real loss-assessment coverage.

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